



Chapter “5”

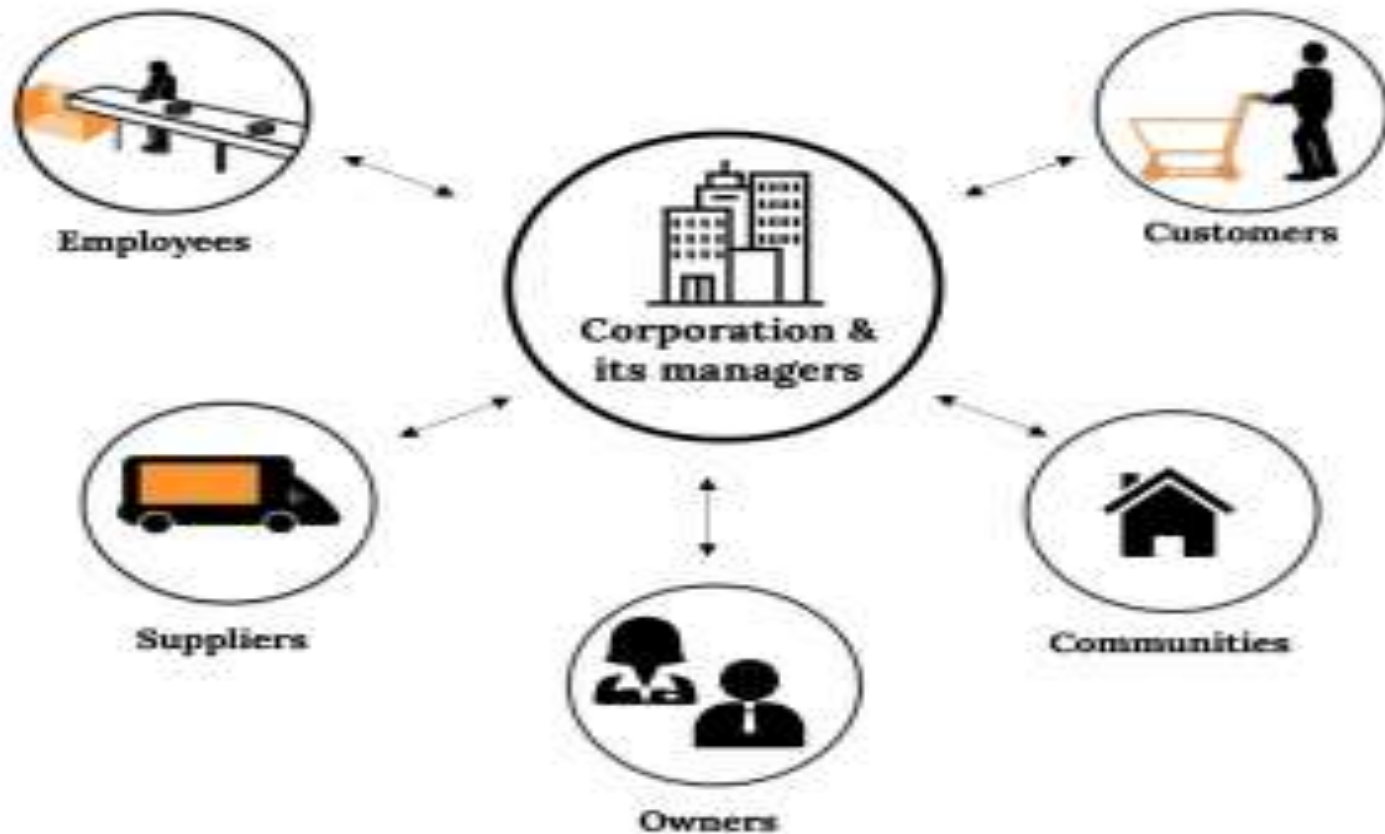
Managing social
responsibility and ethics



Corporate social responsibility

- Refers to the approach that an organization takes in balancing its responsibilities toward different stakeholders when making legal, economic, ethical, and social decisions.
- The term social responsibility refers to the approach that an organization takes in balancing its responsibilities toward their various stakeholders.

Corporate social responsibility



Corporate responsibility

- In this model, the focus is on **managers**—not owners—as the principals involved in these relationships.
- **Owners** or shareholders are the stakeholders who invest risk capital in the firm in expectation of a financial return. Other stakeholders include **employees**, **suppliers**, and the **communities** in which the firm does business.



Corporate responsibility

- Proponents of this model hold that customers, who provide the firm with revenue, have a special claim on managers' attention.
- The arrows indicate the two-way nature of corporation-stakeholder relationships: All stakeholders have some claim on the firm's resources and returns, and management's job is to make decisions that balance these claims

Corporate responsibility

Owners

- or shareholders invest money in companies. In return, the people who run a company have a responsibility to increase the value of owners' investments through profitable operations.
- Managers also have a responsibility to provide owners (as well as other stakeholders having financial interests, such as creditors and suppliers) with accurate, reliable information about the performance of the business.
- Clearly, this is one of the areas in which WorldCom managers fell down on the job. Upper-level management purposely deceived shareholders by presenting them with fraudulent financial statements

Corporate responsibility

Managers

- have what is known as a fiduciary responsibility to owners: they're responsible for safeguarding the company's assets and handling its funds in a trustworthy manner.
- Yet managers experience what is called the agency problem; a situation in which their best interests do not align with those of the owners who employ them.

Corporate responsibility

Employees

- Companies are responsible for providing **employees** with safe, healthy places to work—as well as environments that are free from sexual harassment and all types of discrimination.
- They should also offer appropriate wages & benefits and safety & health.

Corporate responsibility

Customers

- The purpose of any business is to satisfy **customers**, who reward businesses by buying their products.
- Sellers are also responsible—both ethically and legally—for treating customers fairly.
- The rights of consumers were first articulated by President John F. Kennedy in 1962 when he submitted to Congress a presidential message devoted to consumer issues.

Corporate responsibility

Customers

Kennedy identified four consumer rights:

- **The right to safe products.**
- **The right to be informed about a product.**
- **The right to choose what to buy.**
- **The right to be heard.**

Business ethics

The Idea of Business Ethics

- ◉ It's in the best interest of a company to operate ethically. Trustworthy companies are better at attracting and keeping customers, talented employees, and capital.
- ◉ Those tainted by questionable ethics suffer from dwindling customer bases, employee turnover, and investor mistrust.

Business ethics

What Is Ethics?

- You probably already know what it means to be **ethical**: to know right from wrong and to know when you're practicing one instead of the other.
- We can say that **business ethics** is the application of ethical behavior in a business context.
- Acting ethically in business means more than simply obeying applicable laws and regulations: It also means being honest, doing no harm to others, competing fairly, and declining to put your own interests above those of your company, its owners, and its workers. If you're in business you obviously need a strong sense of what's right and wrong.
- You need the personal conviction to do what's right, even if it means doing something that's difficult or personally disadvantageous.

Business ethics

Why Study Ethics?

- The condition of the ethical environment in the near future, one thing seems clear: the next generation entering business will find a world much different than the one that waited for the previous generation.
- For example, cyberethics and how user behavior and programmed computers might impact people and society. Recent history tells us that today's business students, many of whom are tomorrow's business leaders, need a much sharper understanding of the difference between what is and isn't ethically acceptable.
- As a business student, one of your key tasks is learning how to recognize and deal with the ethical challenges that will confront you

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Business ethics

Identifying Ethical Issues and Dilemmas

- **Ethical issues** are the difficult social questions that involve some level of controversy over what is the right thing to do. Environmental protection is an example of a commonly discussed ethical issue, because there can be trade offs between environmental and economic factors.
- **Ethical dilemmas** are situations in which it is difficult for an individual to make decisions either because the right course of action is unclear or carries some potential negative consequences for the person or people involved.

Business ethics

Issues of Honesty and Integrity:

If you work for a company that settles for its employees' merely obeying the law and following a few internal regulations, you might think about moving on.

Conflicts of interest occur when individuals must choose between taking actions that promote their personal interests over the interests of others or taking actions that don't.

Business ethics

◉ Conflicts of Loyalty

You may one day find yourself in a bind between being **loyal** either to your employer or to a friend or family member. Perhaps you just learned that a coworker, a friend of yours, is about to be downsized out of his job.

◉ Bribes vs. Gifts

It's not uncommon in business to give and receive small gifts of appreciation, but when is a gift unacceptable? When is it really a **bribe**?